

stricted to this alone because we run the back office factories of the group, which help in cost savings for the entire group. India is a reservoir of talent and a software developer for the parent company at large." Similarly, Standard Chartered Bank India's technology team has developed the front-end servicing platform for the bank worldwide. Even consumer durable companies like LG and Samsung are getting the software for their LCD and plasma televisions written in India.

Early entrants into India will confirm that international products and practices haven't worked

BANK ON US:
India is
among top 10
contributors to
HSBC profits

**"India is a software developer for the
parent company at large."**

NAINA LAL KIDWAI, COUNTRY HEAD, HSBC INDIA



NISHIKANT GAMRE

	HSBC		
Profit before tax	2005-06	2006-07	2007-08
Global	\$20.96 bn	\$22.08 bn	\$24.21 bn
India	\$212 m	\$393 m	\$529 m
India's share	1.01%	1.78%	2.18%

here because of its unique consumer behaviour and market pattern. So be it distribution or product development, India is coining new best practices for the emerging world. For instance, JCB's excavators manufactured in its Pune plant can run for 3,000 hours a year. In contrast, backhoes which are manufactured in its European factories can only do 2,000 hours a year. Says managing director, India, Vipin Sondhi, "Our machines have been modified in such a way that they are more rugged." The company has invested Rs 300 crore in a green-field facility which will serve as a manufacturing base not only for India but for the rest of Asia Pacific and the Middle East. Global biggies like

Samsung too are now looking at India as a major sourcing base for the rest of the world. Says Lee: "So far, Samsung has relied on China as a manufacturing base. However, in future, I expect India to play an important role in manufacturing."

Seeing the sheer size and potential of the market, MNCs are customising products and devising strategies to suit the indigenous needs. Nestle and HLL have been doing this for a while now. Along with its fruit yogurt, Nestle has created a wave by selling its Jeera Raita and homemade dahi. Dell Computers has introduced an easy-to-use and efficient laptop, the Dell 500 for customers in emerging countries such as India, at Rs 24,500.

Not just for the world's mega corporations, but for any company that has ambitions of scale and growth, a presence in India is a compulsion. Even small and medium-scale companies from North America and Europe are looking at finding a toe-hold in India as Indian and Chinese companies have started attacking their markets with more competitive goods. An example of this is Canada's CA\$30-million Samco, with over 80 per cent revenues coming in from the US.

Says Samco Machinery's Vice-President Raj Kohli: "India is a key part of Samco's strategy to become globally competitive. Samco also wants to be a solutions provider for Indian companies right in their home markets." In the last two years, non-US business has risen to about 90 per cent including business from India. Samco started its manufacturing venture in India about one and a half years ago and is doing a large project in Canada for Tata Nano and has recently manufactured a chassis line for Asia Motors Works right in India. Total revenues from these orders will be about 20 per cent of Samco's annual earnings.

McKinsey Global Institute's analysis shows that if India continues on its current high-growth path, over the next two decades the Indian market will undergo a major transformation. Income levels will almost triple, and India will climb from its position as the 12th largest consumer market today to become fifth largest by 2025. And global corporations are already investing in building capacities to meet the demand. Year-on-year, FDIs are consequently on the rise in India. The first nine months of 2007-08 have seen FDI of \$12.69 billion against \$9.27 billion in the same period the previous year. Players like Nokia are committed to investing additional \$75 million in its manufacturing facility in Tamil Nadu, with a total capacity of 125 million handsets. India is now among Nokia's top nine production bases globally. Even if economic growth moderates to 7.3 per cent, the Indian economy will still be among the fastest growing economies in the world. The Indian Elephant sure is dancing. ■